

Notes: Ahern & Sosyura (JF, 2014)

Who Writes the News? Corporate Press Releases during Merger Negotiations

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1 Introduction

The paper studies whether firms *actively manage the information environment* to influence their stock price when doing so improves real outcomes. The setting is stock-financed mergers, where the acquirer can sometimes benefit from a temporarily higher stock price during negotiations. The key identification compares **fixed exchange ratio** stock deals (where a higher acquirer price reduces the economic cost of the acquisition by reducing dilution) to **floating exchange ratio** stock deals (where the exchange ratio adjusts with the acquirer price, largely neutralizing the benefit of manipulating the acquirer price). Using daily media data from Factiva, the authors show that **fixed-ratio acquirers experience (and plausibly generate) abnormal newswire coverage during negotiations**, that this coverage is associated with **higher market equity during negotiations**, and that **both media coverage and valuation partially reverse after the public announcement/through completion**. Tone results indicate that the key shift is a **reduction in negative news** rather than an increase in positive news. Finally, abnormal acquirer media coverage is linked to a **more favorable division of merger gains** for the acquirer, consistent with the strategic-value channel of media management.

2 Institutional background and incentives: why fixed vs floating exchange ratios matter

2.1 Two stock-payment contract forms

Consider a target share and an acquirer share price P_t^A .

- **Fixed exchange ratio:** the acquirer commits to deliver a fixed number ϕ of acquirer shares per target share. The implied *value* delivered per target share at time t is ϕP_t^A .
- **Floating exchange ratio:** the acquirer commits to deliver a floating number of shares so that the *value* delivered per target share is (approximately) fixed at $\bar{P}^T$:

$$\phi_t \approx \frac{\bar{P}^T}{P_t^A}.$$

This contract mechanically offsets changes in the acquirer's stock price.

2.2 Strategic incentive to raise P^A in fixed-ratio deals

A higher acquirer price P^A reduces the number of shares needed to transfer a given dollar value of consideration. In a fixed exchange ratio deal, the *economic cost* of paying ϕ shares rises with P^A (more expensive shares), but the *dilution* (and the fraction of the merged firm transferred to the target) depends on share issuance and market capitalization. The key practical implication emphasized by the paper is:

When the exchange ratio is fixed, acquirers have stronger incentives to keep their stock price high during negotiations because the terms of trade are pinned to shares rather

than dollars.

In floating-ratio deals, this incentive is muted because the exchange ratio adjusts with P^A , so manipulating P^A is less likely to improve bargaining terms.

3 Timeline and periods (Figure 1)

The empirical design partitions each merger into four periods (trading days), using hand-collected negotiation start dates:

- **Prenegotiation period:** $[-120, -1]$ relative to negotiation start.
- **Negotiation period:** from negotiation start until 16 trading days before the public announcement.
- **Announcement period:** a 5-day window around the public announcement.
- **Transaction period:** from 5 days after announcement until 2 days before completion.

This structure is essential because *incentives to influence prices are strongest when terms are being negotiated* (negotiation period) and weaker after terms are set.

4 Data and key measurement objects

4.1 Merger sample

The sample includes 507 mergers during 2000–2008 with sufficient data to identify negotiation timing and track media outcomes. The main comparisons are:

- 377 **fixed exchange ratio** stock deals,
- 130 **floating exchange ratio** stock deals,
- 139 **all-cash** offers (primarily used for descriptive comparisons / robustness).

4.2 Media data: counts and the “firm-originated” proxy

Daily media counts are drawn from Factiva across 421 sources. The paper separates media sources into:

- **Domestic newspapers (top 3):** *The Wall Street Journal*, *The New York Times*, *USA Today*.
- **Newswires (top 3):** *Reuters News*, *Dow Jones News Service*, *Business Wire*.

The central measurement idea is that **newswire articles** often transmit firm press releases with minimal additional journalistic processing, so they proxy for *firm-originated media output* (where managerial control is most plausible).

Let $Media_{i,t}^{(s)}$ denote the number of articles about acquirer i on day t from source category $s \in \{\text{All}, \text{Domestic}, \text{Newswire}\}$.

4.3 Abnormal and cumulative abnormal media (Figures 2–3)

Define the pre-negotiation baseline average daily media intensity for firm i :

$$\bar{Media}_{i,\text{pre}}^{(s)} \equiv \frac{1}{|\mathcal{T}_{\text{pre}}|} \sum_{t \in \mathcal{T}_{\text{pre}}} Media_{i,t}^{(s)}.$$

Then daily *abnormal* media is measured as a ratio:

$$AbMedia_{i,t}^{(s)} \equiv \frac{Media_{i,t}^{(s)}}{\bar{Media}_{i,\text{pre}}^{(s)}}.$$

Event-time plots use cumulative abnormal media:

$$CumAbMedia_i^{(s)}(\tau) \equiv \sum_{u \leq \tau} \left(AbMedia_{i,u}^{(s)} - 1 \right),$$

and are normalized to zero at an early event time (e.g., -100) for comparability across deal types.

4.4 Firm value proxy

Market equity is

$$ME_{i,t} \equiv P_{i,t} \times Shares_{i,t}, \quad \text{and} \quad \ln(ME_{i,t})$$

is the main dependent variable in valuation regressions.

4.5 Controls for volatility and attention

To account for time-series changes in attention and volatility, regressions control for:

$$Turnover_{i,t} \equiv \frac{Volume_{i,t}}{Shares_{i,t}}, \quad |r_{i,t}| \equiv |\ln P_{i,t} - \ln P_{i,t-1}|,$$

often using sums of lag coefficients from $t - 1$ to $t - 5$.

5 Hypotheses and testable predictions (Table III)

The paper contrasts three conceptually distinct explanations for elevated media coverage in fixed-ratio deals:

5.1 (H1) Active media management

Managers *strategically increase firm-originated media* when it improves terms (during negotiations), and reduce it afterward. Predictions for fixed relative to floating:

- **Negotiation:** higher firm-originated articles and higher market equity.
- **Transaction:** lower firm-originated articles and lower market equity (reversal).

5.2 (H2) Passive media management

Some deals are simply more newsworthy; if so, higher media persists. Predictions:

- **Negotiation:** higher media and higher market equity.
- **Transaction:** higher media and higher market equity (no reversal).

5.3 (H3) Opportunistic acquisitions

If acquirers time deals when they are overvalued, valuation reversals can appear without active media manipulation. Predictions:

- **Negotiation:** no difference in media, but higher market equity.
- **Transaction:** no difference in media, but lower market equity (reversal).

The empirical strategy is designed to distinguish these hypotheses by checking (i) *timing* and (ii) *whether media itself reverses*.

6 Empirical strategy and models (with direct mapping to tables)

Throughout, let $Fixed_d$ indicate that deal d uses a fixed exchange ratio. Let Neg_t , Ann_t , and $Trans_t$ be time-period dummies (relative to the deal timeline).

6.1 Model 1: Difference-in-differences for media coverage (Table V)

The core DiD specification uses firm–deal fixed effects and compares pre-negotiation to negotiation:

$$Media_{i,d,t}^{(s)} = \alpha_{i,d} + \beta_1 Neg_t + \beta_2 (Neg_t \times Fixed_d) + \Gamma' X_{i,d,t} + \varepsilon_{i,d,t}, \quad (1)$$

where $X_{i,d,t}$ includes controls such as lagged turnover and lagged absolute returns (often summarized as sums of lag coefficients).

Interpretation. β_2 is the DiD estimand: the incremental change in media in the negotiation period for fixed-ratio acquirers relative to floating-ratio acquirers.

6.2 Model 2: Media and market equity with interactions (Table VI)

To connect media to valuation, the authors regress logged market equity on period dummies, media, and interactions:

$$\begin{aligned} \ln(ME_{i,d,t}) = & \alpha_{i,d} + \delta_1 Neg_t + \delta_2 (Neg_t \times Fixed_d) + \sum_{\ell=0}^5 \theta_{\ell} Media_{i,d,t-\ell}^{(s)} + \sum_{\ell=0}^5 \kappa_{\ell} (Media_{i,d,t-\ell}^{(s)} \times Neg_t) \\ & + \sum_{\ell=0}^5 \lambda_{\ell} (Media_{i,d,t-\ell}^{(s)} \times Fixed_d) + \sum_{\ell=0}^5 \mu_{\ell} (Media_{i,d,t-\ell}^{(s)} \times Neg_t \times Fixed_d) + u_{i,d,t}. \end{aligned} \quad (2)$$

Table VI reports sums of coefficients across lags, e.g. $Media_{t,...,t-5}$.

Interpretation. The triple interaction coefficients μ_ℓ test whether media has a *stronger valuation effect precisely in the negotiation period for fixed-ratio deals*, which is the strategic-incentives prediction.

6.3 Model 3: Reversal tests after announcement (Table VII)

To test whether elevated valuation and media coverage reverse, the paper estimates fixed-effects regressions in post-negotiation windows.

Market equity reversal around announcement and during transaction.

$$\ln(ME_{i,d,t}) = \alpha_{i,d} + \rho_1 Ann_t + \rho_2 (Ann_t \times Fixed_d) + \rho_3 Trans_t + \rho_4 (Trans_t \times Fixed_d) + \Pi' X_{i,d,t} + \eta_{i,d,t}. \quad (3)$$

Newswire coverage reversal in the transaction period. For media flow outcomes (e.g. newswire counts), an analogous regression is estimated:

$$Media_{i,d,t}^{(Newswire)} = \alpha_{i,d} + \omega_1 Ann_t + \omega_2 (Ann_t \times Fixed_d) + \omega_3 Trans_t + \omega_4 (Trans_t \times Fixed_d) + \Xi' X_{i,d,t} + \nu_{i,d,t}. \quad (4)$$

Interpretation. Active media management predicts $\omega_4 < 0$ (fixed deals reduce newswire coverage during the transaction period relative to the negotiation baseline) and $\rho_2, \rho_4 < 0$ (valuation reversal stronger for fixed deals).

6.4 Model 4: Tone regressions (Table VIII)

Let $Pos_{i,d,t}^{(s)}$ and $Neg_{i,d,t}^{(s)}$ denote the number of positive/negative articles on day t in source category s . Articles are classified via word lists (Loughran–McDonald).

For negotiation-period tone shifts (Panel A of Table VIII):

$$Tone_{i,d,t}^{(s)} = \alpha_{i,d} + \tau_1 Neg_t + \tau_2 (Neg_t \times Fixed_d) + \Upsilon' X_{i,d,t} + e_{i,d,t}, \quad (5)$$

where $Tone$ is either Pos or Neg .

For transaction-period tone shifts (Panel B), replace Neg_t with $Trans_t$ and use negotiation as baseline.

Interpretation. A key signature is a negative τ_2 in the *negative-article* regression: fixed deals experience a relative decline in negative news during negotiations.

6.5 Model 5: Media and the division of merger gains (Table IX)

Define the dependent variable as the target's gain relative to the acquirer's gain:

$$RelGain_d \equiv \frac{\$AR_d^T - \$AR_d^A}{ME_{d,-2}^T + ME_{d,-2}^A},$$

where $\$AR$ denotes dollar abnormal announcement returns aggregated over a 3-day window.

Let $AcqMedia_d$ and $TarMedia_d$ be negotiation-period average daily media counts normalized by prenegotiation intensity. Then:

$$\begin{aligned} RelGain_d = & \beta_0 + \beta_1 AcqMedia_d + \beta_2 TarMedia_d + \beta_3 (AcqMedia_d \times TarMedia_d) + \beta_4 Fixed_d + \beta_5 (Fixed_d \times AcqMedia_d) \\ & + \beta_6 (Fixed_d \times TarMedia_d) + \beta_7 (Fixed_d \times AcqMedia_d \times TarMedia_d) + \mathbf{C}_d' \gamma + \varepsilon_d, \end{aligned} \quad (6)$$

where $\mathbf{C}_d$ includes standard merger controls (industry overlap, percent cash, size, valuation proxies, etc.).

Interpretation. $\beta_1 < 0$ means more acquirer media shifts gains away from the target (toward the acquirer). A strong effect in newswires is consistent with strategic acquirer messaging.

6.6 Model 6: Which firms manage media more? (Table X)

Restricting to fixed-ratio deals, the paper studies cross-sectional heterogeneity in media management intensity using interactions with the negotiation dummy:

$$Media_{i,d,t}^{(s)} = \alpha + \gamma_1 Neg_t + \gamma_2 Z_{i,d} + \gamma_3 (Neg_t \times Z_{i,d}) + \Gamma' W_{i,d,t} + \epsilon_{i,d,t}, \quad (7)$$

where $Z_{i,d}$ includes indicators for valuation difficulty and investor composition (e.g. high market-to-book, high analyst dispersion, high-tech, institutional ownership, R&D intensity).

Interpretation. If media management is more effective when valuation is noisy and investor sophistication is low, then γ_3 should be larger for high-uncertainty firms and smaller for high-institutional-ownership firms.

7 Interpretation of figures (what each figure is telling you)

7.1 Figure 1: timeline of an average merger

Figure 1 defines the event-time structure used throughout: a long prenegotiation baseline, a negotiation window (when terms are set), a short announcement window, and a transaction period until completion. *Interpretation:* the paper's identification is fundamentally about aligning the timing of abnormal media activity with the timing of incentives (negotiation vs after terms are set).

7.2 Figure 2: abnormal newswire coverage (firm-originated proxy)

Panel A shows that **fixed-ratio acquirers accumulate much higher abnormal newswire coverage during negotiations** than floating-ratio acquirers. Panel B shows a **reversal in timing**: floating-ratio acquirers experience larger abnormal newswire coverage during the transaction period as completion approaches. *Interpretation*: the *timing* of firm-originated media aligns with when each contract form would benefit from a higher acquirer price.

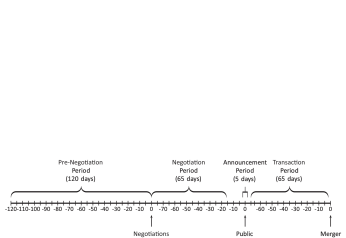


Figure 1. Timeline of an average merger. This figure shows the average length of time in each stage of the merger process for our sample of 507 acquisitions during 2000 to 2008. Numbers represent trading days relative to one of three key dates. In the Pre-negotiation Period (120 trading days before negotiations begin until the day negotiations begin), days are numbered relative to the start of negotiations. In the Negotiation Period (the day negotiations begin until 16 trading days before the public announcement), days are numbered relative to the public announcement of the merger. In the Transaction Period (5 days after the public announcement until 2 days before the completion of the merger), days are numbered relative to the completion date of the merger. The announcement period denotes the 5 days centered on the day of the public announcement.

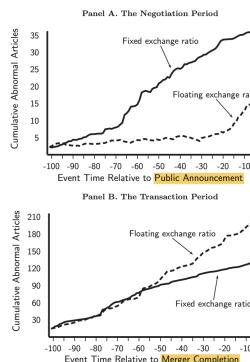


Figure 2. Abnormal acquirer newswire coverage during mergers. This figure presents the average acquirer's cumulative number of abnormal articles from newswires in daily event time relative to the public announcement of the merger in Panel A and relative to the completion of the merger in Panel B. Abnormal articles are calculated as a firm's daily number of articles divided by the average number of daily newswire articles in the prenegotiation period (120 trading days prior to the beginning of merger negotiations). Time series are set to zero at event date = -100 for comparison. "Fixed exchange ratio" denotes bidders in stock acquisitions where the number of bidder's shares to be issued for each target share is fixed. "Floating exchange ratio" denotes bidders in stock acquisitions where the number of bidder's shares to be issued for each target share floats to achieve a particular price per target share. Data are from 507 acquisitions during 2000 to 2008.

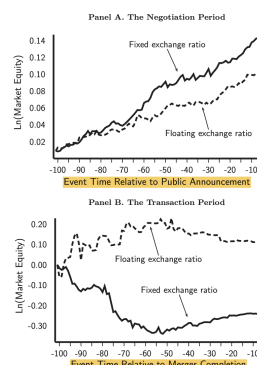


Figure 3. Acquirer market equity during mergers. This figure presents the average acquirer's logged market equity in daily event time relative to the public announcement of the merger in Panel A and relative to the completion of the merger in Panel B. Time series are set to zero at event date = -100 for comparison. "Fixed exchange ratio" denotes bidders in stock acquisitions where the number of bidder's shares to be issued for each target share is fixed. "Floating exchange ratio" denotes bidders in stock acquisitions where the number of bidder's shares to be issued for each target share floats to achieve a particular price per target share. Data are from 507 acquisitions during 2000 to 2008.

7.3 Figure 3: acquirer market equity dynamics and reversal

Panel A shows that acquirer market equity rises during negotiations for both deal types but rises **more for fixed-ratio deals**. Panel B shows a **large post-announcement decline** for fixed-ratio acquirers relative to floating-ratio acquirers. *Interpretation*: the valuation pattern matches the active-management prediction (temporary run-up and reversal), and when combined with Figure 2 (media timing), it argues against pure opportunistic timing.

8 Interpretation of each table (results and economic meaning)

8.1 Table I: Summary statistics of media coverage and deal timing

Table I documents three foundational facts:

1. **Media coverage is highly skewed**: the mean monthly number of all articles in the prenegotiation period is 73.4, but the median is only 11.
2. **Newswire coverage dominates major newspapers** in volume (e.g., top-three newswires have much higher counts than top-three newspapers).
3. **The negotiation and transaction windows are long enough to sustain strategic behavior**: the average negotiation and transaction periods are each about 65 trading days.

These facts motivate (i) the reliance on fixed effects and robust inference and (ii) the focus on newswires as the key "firm-originated" channel.

8.2 Table II: Firm characteristics by payment method

Table II compares observable characteristics across fixed-ratio, floating-ratio, and all-cash acquirers. Two takeaways are important for identification:

- **Fixed vs floating are broadly similar on many observables** (e.g., analyst dispersion and institutional ownership are close), which supports the interpretation that differences in media dynamics are driven by incentive differences rather than entirely different populations.

Table I

Summary Statistics of Media Coverage and Merger Negotiations

This table presents summary statistics for 617,445 media articles from 421 sources reported in the Factiva database about acquirers in 507 mergers over 2000 to 2008 by different periods in the merger process. The prenegotiation period is the period from 120 trading days before the merger talks begin until the day before merger talks begin. The negotiation period starts on the day merger negotiations begin and ends 16 trading days before the public announcement of the merger. The announcement period includes the 5 days that surround the public announcement of the merger. The transaction period is the period 5 days after the announcement date until 2 days before the merger closes. Monthly figures are aggregates of 20 trading days by firm-day observations. *The Wall Street Journal*, *The New York Times*, and *USA Today* are the top three domestic newspaper sources. *Reuters News*, *Dow Jones News Service*, and *Business Wire* are the top three newswire sources.

			Percentile			
	Mean	Std. Dev.	25th	50th	75th	Obs.
<i>Monthly Media Coverage in Prenegotiation Period</i>						
Number of all articles per firm-month	73.42	195.97	0	11	60	60,840
Number of top 3 domestic news articles per firm-month	3.01	11.98	0	0	1	60,840
Number of top 3 newswire articles per firm-month	30.76	99.25	0	1	20	60,840
<i>Change in Monthly Media Coverage in Negotiation Period (Within-Firm-Deal)</i>						
Number of all articles per firm-month	2.85	50.78	-7.50	-0.09	7.50	27,489
Number of top 3 domestic newspaper articles per firm-month	-0.12	2.93	-0.49	0.00	0.17	27,489
Number of top 3 newswire articles per firm-month	1.52	36.70	-3.42	-0.09	3.00	27,489
<i>Media Coverage during the Announcement Period</i>						
Number of all articles	59.70	86.93	17	30	67	2,535
Number of top 3 domestic news stories	3.23	5.18	1	2	3	2,535
Number of top 3 press releases	29.85	46.10	7	15	31	2,535
<i>Timing of the Merger Process</i>						
Days in negotiation period	64.68	63.93	17	44	92	507
Days in transaction period	64.46	57.96	24	48	86	507

Table II
Firm Characteristics by Form of Merger Payment

Columns (1) to (3) present averages of acquirer characteristics for 377 fixed exchange ratio acquisitions, 130 floating-exchange ratio acquisitions, and 139 all-cash acquisitions. Columns (4) to (6) present differences-in-means tests with *p*-values reported in parentheses. "Fixed exchange ratio" denotes bidders in stock acquisitions where the number of bidder's shares to be issued for each target share is fixed. "Floating exchange ratio" denotes bidders in stock acquisitions where the number of bidder's shares to be issued for each target share floats to achieve a particular price per target share. "All cash offer" denotes bidders that offer only cash as consideration. "Stock return volatility" is calculated over the prenegotiation period, defined in Table I. "Market equity" is the value of market equity (in \$ billions) on the first day of negotiations. "Analyst dispersion" is the coefficient of variation in analysts' quarterly earnings forecasts for the acquirer in the most recent forecasting period before the merger announcement. "Institutional ownership" is the percent of shares owned by institutional investors in the most recent reporting period before the merger announcement. "Intangibles/Assets" is (Total Assets - Net PPE - Current Assets)/Total Assets. "High-Tech Industry" is a dummy variable for acquirers in Fama-French 49 Industries: Computers (35), Software (36), or Electronics (37). "Tobin's *Q*" is (Total Assets - Common Equity + Market Equity)/Total Assets. "Market-to-book" is calculated as in Fama and French (1992). "ROA" is Operating Income Before Depreciation/Total Assets. "Raw media count" is the number of daily media articles from all sources in the prenegotiation period. "Same industry" is a dummy equal to one if the acquirer and target are in the same Fama-French 49 industry code. "Relative size" is the merger transaction size divided by the acquirer's market equity. Significance at the 0.01, 0.05, and 0.10 levels is indicated by ***, **, and *.

	Fixed Exchange Ratio	Floating Exchange Ratio	All Cash Offer	Differences		
				(1)-(2)	(1)-(3)	(2)-(3)
Stock return volatility	3.066	2.441	1.903	0.625*** (<0.001)	1.164*** (<0.001)	0.538*** (<0.001)
Market equity	24.580	32.718	38.160	-8.138 (0.202)	-13.579** (0.016)	-5.441 (0.464)
Analyst dispersion	0.053	0.043	0.023	0.010 (0.462)	0.030*** (0.002)	0.021** (0.040)
Institutional ownership	0.158	0.152	0.192	0.007 (0.624)	-0.034** (0.032)	-0.041** (0.019)
Intangibles/assets	0.136	0.150	0.251	-0.014 (0.491)	-0.115*** (<0.001)	-0.101*** (<0.001)
R&D/assets	0.030	0.024	0.032	0.006 (0.160)	-0.002 (0.653)	-0.008* (0.097)
High-Tech Industry	0.308	0.277	0.386	0.031 (0.505)	-0.078 (0.103)	-0.109* (0.058)
Tobin's <i>Q</i>	2.331	2.240	2.196	0.091 (0.648)	0.135 (0.382)	0.043 (0.834)
Market-to-book	4.607	4.404	3.780	0.204 (0.718)	0.827** (0.047)	0.624 (0.262)
ROA	0.117	0.140	0.160	-0.024* (0.054)	-0.043*** (<0.001)	-0.019 (0.115)
Raw media count	3.430	4.228	6.098	-0.797 (0.384)	-2.668*** (0.007)	-1.871 (0.109)
Same industry	0.735	0.708	0.479	0.027 (0.558)	0.256*** (<0.001)	0.229*** (<0.001)
Relative size	0.497	0.565	0.188	-0.068 (0.552)	0.309*** (<0.001)	0.377*** (0.001)

- **Fixed-ratio acquirers have higher return volatility** than floating and cash acquirers. This is consistent with the idea that firms choosing fixed-ratio contracts may operate in environments where valuation is more sensitive to information, which is exactly where media influence could be more valuable.

8.3 Table III: hypotheses and predictions

Table III is the conceptual map:

- **Active management** predicts (i) more firm-originated media and higher market equity *during negotiations* and (ii) less firm-originated media and lower market equity *during the transaction period*.

- **Passive management** predicts no reversal in media or valuation.
- **Opportunistic acquisitions** predicts valuation reversal but *no* reversal in media.

Thus, *media reversals* become a diagnostic for strategic management rather than timing alone.

Table III
Hypotheses and Testable Predictions

This table presents a summary of the main hypotheses and their predictions defined in a difference-in-differences framework. The prediction shown is the expected change in the variable of interest for fixed ratio bidders relative to floating ratio bidders over the specified period in the merger process. The negotiation period starts on the day merger negotiations begin and ends 16 trading days before the public announcement of the merger. The transaction period starts 5 days after the public announcement of the merger and ends 2 trading days before the completion of the merger.

	Variable of Interest	
	Firm-Originated Media Articles	Market Equity
Active Media Management		
Negotiation period	Higher	Higher
Transaction period	Lower	Lower
Passive Media Management		
Negotiation period	Higher	Higher
Transaction period	Higher	Higher
Opportunistic Acquisitions		
Negotiation period	No difference	Higher
Transaction period	No difference	Lower

Table IV
Univariate Difference-in-Differences Tests of Media Coverage

This table presents averages and univariate *t*-tests of media counts by media source, type of merger payment, and timing of merger negotiations for a sample of 507 mergers over 2000 to 2008. "Pre-negotiation," "Negotiation," and "Transaction" denote time periods in the merger and are defined in Table I. "Fixed" denotes bidders in fixed exchange ratio stock acquisitions. "Floating" denotes bidders in floating exchange ratio stock acquisitions. Observations are at the firm-day level. *The Wall Street Journal*, *The New York Times*, and *USA Today* are the top three domestic newspaper sources. *Reuters News*, *Dow Jones News Service*, and *Business Wire* are the top three newswire sources. Significance at the 0.01, 0.05, and 0.10 levels is indicated by ***, **, and *.

	Pre-Negotiation	Negotiation	Transaction	Differences		
	(1)	(2)	(3)	(1) – (2)	(1) – (3)	(2) – (3)
Panel A: All Daily Media Articles						
Fixed	3.453	4.409	3.895	-0.955*** (<0.001)	-0.442*** (<0.001)	0.513*** (<0.001)
Floating	4.303	2.931	4.412	1.371*** (<0.001)	-0.110 (0.381)	-1.481*** (<0.001)
Difference	-0.849*** (<0.001)	1.477*** (<0.001)	-0.517*** (<0.001)	-2.327*** (<0.001)	-0.332** (0.019)	1.994*** (<0.001)
Panel B: Top Three Daily Domestic Newspaper Articles						
Fixed	0.149	0.177	0.151	-0.029*** (<0.001)	-0.002 (0.562)	0.026*** (0.006)
Floating	0.157	0.113	0.169	0.044* (<0.001)	-0.012*** (0.099)	-0.056*** (<0.001)
Difference	-0.008 (0.117)	0.064*** (<0.001)	-0.018*** (0.006)	-0.073*** (<0.001)	0.010 (0.257)	0.082*** (<0.001)
Panel C: Top Three Daily Newswire Articles						
Fixed	1.441	1.900	1.665	-0.459*** (<0.001)	-0.223*** (<0.001)	0.236*** (<0.001)
Floating	1.818	1.146	1.926	0.673*** (<0.001)	-0.107* (0.096)	-0.780*** (<0.001)
Difference	-0.377*** (<0.001)	0.754*** (<0.001)	-0.261*** (<0.001)	-1.131*** (<0.001)	-0.116 (0.113)	1.016*** (<0.001)

8.4 Table IV: univariate DiD patterns in media coverage

Table IV provides raw DiD evidence. Key patterns:

- In the **negotiation period**, fixed-ratio acquirers receive **more coverage** than floating-ratio acquirers across all sources, newspapers, and newswires (difference strongly significant).
- In the **transaction period**, the sign flips: fixed-ratio acquirers receive **less** coverage than floating-ratio acquirers.

Interpretation: the sign flip is difficult to reconcile with passive media management and strongly consistent with active timing of media.

8.5 Table V: multivariate DiD tests (firm–deal fixed effects)

Table V estimates equation (1) and shows:

1. The negotiation $\times$ fixed interaction is **positive and significant** for **all media** and for **newswires**, but not for the top three domestic newspapers.
2. Volatility controls (turnover and absolute returns) strongly predict media coverage, confirming the need to control for attention/volatility dynamics.

Interpretation: the strongest differential increase occurs in the channel most plausibly under managerial control (newswires), supporting the press-release mechanism.

Table V
Multivariate Difference-in-Differences Tests of Media Coverage

This table presents coefficient estimates from firm-deal fixed effects regressions of media coverage. The dependent variable is the number of media articles. Observations are firm-days in the prenegotiation and negotiation periods, defined in Table 1. "Negotiation period dummy" equals one for observations in the negotiation period and zero for observations in the pre-negotiation period. "Fixed ratio" is a dummy variable equal to one for mergers that use a fixed stock exchange ratio and zero for mergers that use a floating stock exchange ratio. *The Wall Street Journal*, *The New York Times*, and *USA Today* are the domestic newspaper sources. *Reuters News*, *Dow Jones News Service*, and *Business Wire* are the newswire sources. "Sum of turnover_{*t*-1,...,*t*-5}" is the sum of the coefficients of turnover from each day *t* - 1 to *t* - 5. Turnover is daily volume divided by shares outstanding. "Sum of |return_{*t*-1,...,*t*-5}|" is computed analogously, where |return_{*t*}| is the absolute value of the daily return. Heteroskedasticity- and autocorrelation-robust *p*-values are in parentheses. Significance at the 0.01, 0.05, and 0.10 levels is indicated by ***, **, and *.

	All Media (1)	Domestic Newspapers (2)	Newswires (3)
Negotiation period dummy	-0.144 (0.190)	-0.012 (0.114)	-0.129* (0.066)
Negotiation period × Fixed ratio	0.277** (0.044)	-0.001 (0.929)	0.161* (0.062)
Sum of turnover _{<i>t</i>-1,...,<i>t</i>-5}	26.668*** (<0.001)	1.241*** (<0.001)	14.765*** (<0.001)
Sum of return _{<i>t</i>-1,...,<i>t</i>-5}	18.893*** (0.002)	1.324*** (0.001)	12.254*** (0.005)
Sum of return _{<i>t</i>-1,...,<i>t</i>-5} × Fixed ratio	-1.452 (0.833)	-0.281 (0.549)	-2.032 (0.666)
Firm-deal fixed effects	Yes	Yes	Yes
<i>F</i> -test	10.940	8.260	10.080
<i>p</i> -value	(<0.001)	(<0.001)	(<0.001)
Observations	85,808	85,808	85,808

Table VI
The Effect of Media Coverage on Market Equity

This table presents coefficient estimates from fixed effects regressions of ln(market equity). Observations are firm-days in the prenegotiation and negotiation periods, defined in Table 1. "Negotiation period dummy" equals one for observations in the negotiation period and zero for observations in the pre-negotiation period. "Fixed ratio" is a dummy variable equal to one for mergers that use a fixed stock exchange ratio and zero for mergers that use a floating stock exchange ratio. "Media source" refers to one of the three categories of media sources as listed in the heading of the table. *The Wall Street Journal*, *The New York Times*, and *USA Today* are the domestic newspaper sources. *Reuters News*, *Dow Jones News Service*, and *Business Wire* are the newswire sources. "Market equity_{*t*}" is the price times shares outstanding on day *t*. "Media_{*t*,...*t*-5}" is the sum of the coefficients of media from each day *t* to *t* - 5, where the media source is the same as the dependent variable. Heteroskedasticity- and autocorrelation-robust *p*-values are in parentheses. Significance at the 0.01 level is indicated by ***.

Media Source	Dependent Variable: Ln(Market Equity _{<i>t</i>})		
	All Media (1)	Domestic Newspapers (2)	Newswires (3)
Negotiation period dummy	0.105*** (<0.001)	0.102*** (<0.001)	0.106*** (<0.001)
Negotiation period × Fixed ratio	0.036*** (<0.001)	0.040*** (<0.001)	0.034*** (<0.001)
Media _{<i>t</i>,...<i>t</i>-5}	0.002*** (<0.001)	0.033*** (<0.001)	0.003*** (<0.001)
Media _{<i>t</i>,...<i>t</i>-5} × Negotiation period	-0.002*** (0.001)	-0.041*** (0.001)	-0.007*** (<0.001)
Media _{<i>t</i>,...<i>t</i>-5} × Fixed ratio	-0.001 (0.100)	-0.025*** (0.007)	0.000 (0.680)
Media _{<i>t</i>,...<i>t</i>-5} × Negotiation period × Fixed	0.003*** (<0.001)	0.044*** (0.001)	0.008*** (<0.001)
Firm-deal fixed effects	Yes	Yes	Yes
<i>F</i> -test	49.500	49.320	48.910
<i>p</i> -value	(<0.001)	(<0.001)	(<0.001)
Observations	85,928	85,928	85,928

8.6 Table VI: media coverage and market equity

Table VI estimates equation (2) and delivers three linked conclusions:

- Market equity is **higher** during negotiations (general run-up).
- Fixed-ratio acquirers experience an **additional** negotiation-period run-up (positive *Neg* × *Fixed*).
- The **valuation impact of media is strongest for fixed-ratio acquirers during negotiations** (positive triple interaction *Media* × *Neg* × *Fixed*).

Interpretation: media is not just correlated with value; its price impact aligns with the incentive timing of fixed-ratio deals.

8.7 Table VII: reversals of market equity and media coverage

Table VII directly tests the active-management reversal prediction:

- ln(*ME*) declines in the announcement and transaction periods, with **stronger declines for fixed-ratio acquirers**.
- Newswire coverage increases around announcement for all deals, but during the transaction period **fixed-ratio acquirers have relatively lower newswire coverage** (negative interaction).

Interpretation: the combination of valuation reversal and media reversal supports the active media management story over opportunistic timing.

Table VII
Reversals of Market Equity and Media Coverage

This table presents coefficient estimates from fixed effects regressions of $\ln(\text{market equity})$ or the number of newswire articles on day t . Columns (1) and (2) test for changes in the level of market equity. The level of market equity that immediately precedes the merger announcement is the baseline for testing the subsequent valuation adjustments that follow the announcement (dummy = zero for firm-day observations from the end of the negotiation period to 3 days before the announcement). Columns (3) and (4) test for changes in the daily flow of media coverage. The average daily number of articles in the negotiation period when the terms of the merger are being determined is the baseline (dummy = zero for firm-day observations in the negotiation period, as defined in Table I). In (1) and (3), “Announcement period dummy” equals one for observations in the announcement period. In (2) and (4), “Transaction period dummy” equals one for observations in the transaction period. Heteroskedasticity- and autocorrelation-robust p -values are in parentheses. Significance at the 0.01 and 0.10 levels is indicated by *** and *.

	Ln(Market Equity _{t})		Newswire Articles	
	(1)	(2)	(3)	(4)
Announcement period dummy	-0.005* (0.097)		3.670*** (<0.001)	
Announcement period $\times$ Fixed ratio	-0.007* (0.084)		0.704 (0.221)	
Transaction period dummy		-0.012*** (0.002)		0.304*** (<0.001)
Transaction period $\times$ Fixed ratio		-0.008* (0.082)		-0.189* (0.061)
Sum of turnover _{$t-1, \dots, t-5$}			-1.833 (0.681)	22.273*** (<0.001)
Sum of $ \text{return}_{t-1, \dots, t-5} $			7.162 (0.391)	7.418 (0.170)
Sum of $ \text{return}_{t-1, \dots, t-5} \times \text{Fixed ratio}$			5.735 (0.572)	1.250 (0.835)
Firm-deal fixed effects	Yes	Yes	Yes	Yes
F -test	13.900	31.320	12.700	7.620
p -value	(<0.001)	(<0.001)	(<0.001)	(<0.001)
Observations	8,826	55,277	29,723	76,178

Table VIII
The Fraction of Positive and Negative Articles

This table presents coefficient estimates from firm-deal fixed effect regressions of the number of positive or negative articles by media source. An article is positive (negative) if it has more than the average fraction of positive (negative) words calculated separately for each type of media outlet. Positive and negative words are categorized based on Loughran and McDonald (2011). Regressions in Panel A include firm-day observations in the prenegotiation and negotiation periods. Regressions in Panel B include firm-day observations in the negotiation and transaction periods. Time periods are defined in Table I. “Negotiation period dummy” equals one for observations in the negotiation period and zero for observations in the prenegotiation period. “Transaction period dummy” equals one for observations in the transaction period and zero for observations in the negotiation period. “Fixed ratio” is a dummy variable equal to one for mergers that use a fixed stock exchange ratio and zero for mergers that use a floating stock exchange ratio. *The Wall Street Journal*, *The New York Times*, and *USA Today* are the domestic newspaper sources. *Reuters News*, *Dow Jones News Service*, and *Business Wire* are the newswire sources. “Sum of turnover _{$t-1, \dots, t-5$} ” and “Sum of $|\text{return}_{t-1, \dots, t-5}|$ ” are defined in Table V. Heteroskedasticity- and autocorrelation-robust p -values are in parentheses. Significance at the 0.01, 0.05, and 0.10 levels is indicated by ***, **, and *.

	All Media		Domestic Newspapers		Newswires	
	Negative (1)	Positive (2)	Negative (3)	Positive (4)	Negative (5)	Positive (6)
Panel A: Effects in the Negotiation Period						
Negotiation period dummy	0.018 (0.117)	0.025** (0.027)	0.007 (0.808)	0.007 (0.817)	0.009 (0.538)	-0.003 (0.827)
Negotiation period $\times$ Fixed ratio	-0.030** (0.031)	-0.014 (0.319)	-0.029 (0.388)	0.006 (0.856)	-0.040** (0.019)	0.012 (0.507)
Sum of turnover _{$t-1, \dots, t-5$}	1.571*** (<0.001)	0.039 (0.889)	0.869 (0.240)	0.902 (0.300)	0.412 (0.290)	0.031 (0.942)
Sum of $ \text{return}_{t-1, \dots, t-5} $	2.698*** (<0.001)	1.193** (0.021)	2.237* (0.055)	2.657** (0.020)	1.603** (0.012)	1.087* (0.096)
Sum of $ \text{return}_{t-1, \dots, t-5} \times \text{Fixed ratio}$	-1.820 (0.001)	-0.688 (0.224)	0.182 (0.890)	-0.637 (0.620)	-0.727 (0.301)	-0.818 (0.261)
Firm-deal fixed effects	Yes	Yes	Yes	Yes	Yes	Yes
F -test	8.740	2.290	3.870	4.690	3.040	1.070
p -value	(<0.001)	(0.002)	(<0.001)	(<0.001)	(<0.001)	(0.379)
Observations	40,753	40,753	7,671	7,671	24,865	24,865
Panel B: Effects in the Transaction Period						
Transaction period dummy	0.024* (0.051)	-0.043*** (<0.001)	0.020 (0.509)	-0.052* (0.074)	-0.021* (0.077)	-0.048*** (0.001)
Transaction period $\times$ Fixed ratio	0.011 (0.476)	0.020 (0.167)	-0.050 (0.159)	0.024 (0.489)	-0.009 (0.512)	0.028 (0.115)
Sum of turnover _{$t-1, \dots, t-5$}	2.286*** (<0.001)	-0.895** (0.028)	2.215** (0.028)	-1.518 (0.111)	0.152 (0.694)	0.529 (0.278)
Sum of $ \text{return}_{t-1, \dots, t-5} $	1.655*** (0.002)	0.916* (0.056)	0.560 (0.633)	1.955* (0.063)	2.524*** (<0.001)	1.177** (0.049)
Sum of $ \text{return}_{t-1, \dots, t-5} \times \text{Fixed ratio}$	-1.209 (0.039)	-0.026 (0.962)	0.242 (0.852)	-0.598 (0.615)	-2.280 (<0.001)	-1.097 (0.107)
Firm-deal fixed effects	Yes	Yes	Yes	Yes	Yes	Yes
F -test	9.220	3.430	2.070	2.700	3.900	2.650
p -value	(<0.001)	(<0.001)	(0.006)	(<0.001)	(<0.001)	(<0.001)
Observations	40,398	40,398	7,274	7,274	25,947	25,947

8.8 Table VIII: tone (positive vs negative articles)

Table VIII shows that the change in tone during negotiations for fixed-ratio acquirers is driven primarily by:

a reduction in negative articles (especially in newswires), not an increase in positive articles.

Interpretation: media management appears to operate by suppressing or crowding out negative coverage rather than by producing overtly positive “hype.”

8.9 Table IX: division of merger gains

Table IX links negotiation-period media to who captures value at announcement:

- Higher **acquirer** media in newswires is associated with a **lower target gain relative to the acquirer** (negative coefficient on acquirer media).
- Higher **target** media is associated with a **higher target gain relative to the acquirer** (positive coefficient on target media).

Interpretation: media is economically consequential: it correlates with bargaining outcomes and the split of merger gains, consistent with the “terms of trade” channel.

Table IX
Media Coverage and the Division of Merger Gains

This table presents coefficient estimates from cross-sectional OLS regressions of the merger gains of targets relative to acquirers. The dependent variable is the difference between the dollar announcement return of the target and the dollar announcement return of the acquirer, divided by the aggregate market equity of the two firms 2 days prior to the announcement. Dollar abnormal returns are firms' returns minus the equally weighted CRSP index return, multiplied by market equity, and aggregated over the 3 days around the announcement. *The Wall Street Journal*, *The New York Times*, and *USA Today* are the domestic newspaper sources. *Reuters News*, *Dow Jones News Service*, and *Business Wire* are the newswire sources. "Acquirer (target) media" is the average number of daily media articles of the acquirer (target) during the negotiation period, normalized by the firms' average number of media articles during the prenegotiation period. "Fixed ratio" is a dummy variable equal to one for mergers that use a fixed stock exchange ratio and zero for mergers that use a floating stock exchange ratio. "Acquirer (Target) M/B" is the market-to-book ratio of the acquirer (target), calculated as in Fama and French (1992). "Relative value" is the takeover price divided by the market value of the acquirer 2 days before the announcement. "Acquirer (Target) assets" is the total assets of the acquirer (target). "Same industry" is a dummy equal to one if both firms are in the same Fama-French 49 industry code. "Percent cash" is the fraction of the takeover price paid in cash. Robust firm-clustered *p*-values are in parentheses. Significance at the 0.01, 0.05, and 0.10 levels is indicated by ***, **, and *.

	Dependent Variable = Target Gain Relative to Acquirer			
	Media = Newswires		Media = Domestic Newspapers	
	(1)	(2)	(3)	(4)
Acquirer media	-0.008*	-0.017***	0.038	-0.088
	(0.066)	(0.004)	(0.510)	(0.522)
Target media	0.068*	0.158***	0.463***	0.468**
	(0.071)	(0.001)	(0.005)	(0.017)
Acquirer media × Target media	-0.018	-0.069*	0.355	-0.603
	(0.585)	(0.053)	(0.572)	(0.637)
Fixed ratio		0.021		0.016
		(0.170)		(0.284)
Fixed ratio × Acquirer media		0.006		0.141
		(0.516)		(0.368)
Fixed ratio × Target media		-0.144***		-0.163
		(0.007)		(0.480)
Fixed × Acquirer media × Target media		0.097**		0.969
		(0.020)		(0.491)
Acquirer M/B	0.000	0.001	0.000	0.001
	(0.881)	(0.660)	(0.959)	(0.721)
Target M/B	-0.003	-0.003	-0.003	-0.003
	(0.328)	(0.287)	(0.409)	(0.345)
Relative value	0.001	0.000	-0.002	-0.002
	(0.898)	(0.964)	(0.779)	(0.801)
Acquirer assets	-0.403	-0.560*	-0.913***	-0.807***
	(0.141)	(0.063)	(0.002)	(0.003)
Target assets	0.000	0.000	0.000	0.000
	(0.961)	(0.642)	(0.320)	(0.457)

Table IX—Continued

	Dependent Variable = Target Gain Relative to Acquirer			
	Media = Newswires		Media = Domestic Newspapers	
	(1)	(2)	(3)	(4)
Same industry	-0.006	-0.003	-0.011	-0.009
	(0.682)	(0.834)	(0.451)	(0.539)
Percent cash	-0.051**	-0.039*	-0.047**	-0.037*
	(0.011)	(0.056)	(0.017)	(0.060)
Constant	0.093***	0.072***	0.096***	0.081***
	(<0.001)	(0.004)	(<0.001)	(0.001)
Adjusted <i>R</i> ²	0.073	0.126	0.117	0.133
Observations	101	101	101	101

8.10 Table X: determinants of active media management (within fixed-ratio deals)

Table X studies heterogeneity and shows that newswire media management is stronger when:

- firms are harder to value (high market-to-book, high analyst dispersion, high-tech),
- firms have lower institutional ownership (more retail-oriented investor base).

Interpretation: these patterns are exactly what you would predict if (i) persuasion is easier under valuation uncertainty and (ii) retail attention is more responsive to press-release-driven news flow.

9 Key points

1. **Contract-based incentives create quasi-experimental variation.** The fixed vs floating exchange ratio distinction is a clean way to shift incentives to affect stock prices without mechanically changing the timeline.
2. **The “horse’s mouth” proxy: newswires as firm-originated output.** When the mechanism is corporate communication, the empirical design benefits from separating outlets with high managerial control (newswires) from those with lower control (major newspapers).

Table X
Characteristics of Firms with More Active Media Management

This table presents coefficient estimates from OLS regressions of media coverage of acquirers from the top three domestic newspapers or top three newswires. Observations are firm-days in the prenegotiation and negotiation periods, as defined in Table I for fixed exchange ratio acquisitions only. *The Wall Street Journal*, *The New York Times*, and *USA Today* are the top three domestic newspaper sources. *Reuters News*, *Dow Jones News Service*, and *Business Wire* are the top three newswire sources. "High market-to-book" (denoted "Market-to-book" in the interaction terms) is a dummy variable equal to one for firms with above median market-to-book ratios, within the sample. "High analyst dispersion" (denoted "Analyst dispersion" in the interaction terms) is a dummy variable equal to one if the coefficient of variation of analysts' earnings forecasts for the acquirer in the most recent forecasting period before the merger announcement is above the median for the sample firms. "High-tech industry" (denoted "High-tech industry" in the interaction terms) is a dummy variable equal to one for acquirers in Fama-French 49 industries Computers (35), Software (36), or Electronics (37). "Institutional ownership" is the fraction of shares owned by institutions on the most recent reporting date before the merger announcement. "High R&D/Assets" (denoted "R&D/Assets" in the interaction terms) is a dummy variable equal to one for above-median R&D/Assets. "Negotiation period dummy" (denoted "Negotiation" in the interaction terms) equals one for observations in the negotiation period and zero for observations in the prenegotiation period. "Sum of turnover_{t-1,t-5}" is the sum of the coefficients of turnover from each day $t-1$ to $t-5$. Turnover is daily volume divided by shares outstanding. "Sum of $|\text{return}_{t-1,t-5}|$ " is computed analogously, where $|\text{returns}|$ are absolute values of daily returns. Heteroskedasticity- and autocorrelation-robust p -values are in parentheses. Significance at the 0.01, 0.05, and 0.10 levels is indicated by ***, **, and *.

	Domestic Newspapers		Newswires	
	(1)	(2)	(3)	(4)
High market-to-book	0.020* (0.061)	0.020** (0.028)	0.444*** <0.001	0.286*** <0.001
High analyst dispersion	0.007 (0.572)	-0.003 (0.746)	0.467*** <0.001	0.154** (0.023)
High-tech industry	0.028 (0.210)	0.029* (0.076)	0.873*** <0.001	0.451*** <0.001
Institutional ownership	-0.032*** (0.002)	-0.029*** (0.007)	-0.424*** <0.001	-0.148* (0.067)
High R&D/Assets	-0.008 (0.273)	-0.011 (0.150)	-0.156*** (0.001)	-0.107** (0.044)
Negotiation period dummy	0.016 (0.261)	0.003 (0.881)	0.495*** <0.001	0.231 (0.139)
Book assets	0.003*** <0.001	0.003*** <0.001	0.026*** <0.001	0.025*** <0.001
Negotiation $\times$ Market-to-book		-0.003 (0.883)		0.432** (0.020)
Negotiation $\times$ Analyst dispersion		0.030 (0.311)		0.882*** <0.001
Negotiation $\times$ High-tech industry		-0.001 (0.986)		1.294*** (0.003)
Negotiation $\times$ Institutional ownership		-0.009 (0.804)		-0.987*** (0.003)
Negotiation $\times$ R&D/Assets		0.006 (0.773)		-0.401* (0.062)

(Continued)

Table X—Continued

	Domestic Newspapers		Newswires	
	(1)	(2)	(3)	(4)
Sum of turnover _{t-1,...,t-5}	0.263 (0.499)	0.293 (0.402)	-7.769** (0.020)	-3.923 (0.217)
Sum of $ \text{return}_{t-1,...,t-5} $	0.187 (0.634)	0.183 (0.648)	-3.197 (0.221)	-2.507 (0.334)
Constant	-0.014 (0.404)	-0.009 (0.550)	-0.345*** (0.003)	-0.204** (0.049)
F-test	5.340	5.140	3.790	4.080
p-value	<0.001	<0.001	<0.001	<0.001
Observations	20,974	20,974	20,974	20,974

3. **Dynamic validation via reversals.** Showing that both media and valuation reverse after the incentive window is central to separating active manipulation from passive newsworthiness or opportunistic timing.

10 Conclusion

10.1 Summary

This paper concludes that **firms strategically manage media coverage during private merger negotiations in order to influence their own stock prices and improve deal terms**. Using (i) detailed dates for the start of merger negotiations hand-collected from SEC filings and (ii) comprehensive daily media data that distinguish **firm-originated press releases** from other media sources, the authors show:

1. **A sharp, incentive-driven spike in firm-originated news:** In *fixed exchange ratio* stock mergers, bidders have a strong incentive to raise their stock price precisely during the period when the exchange ratio is determined. Consistent with this incentive, fixed-ratio bidders **dramatically increase press releases** after negotiations begin but before the public announcement. In contrast, *floating exchange ratio* bidders (whose share issuance adjusts with their own price) do **not** show the same surge.

2. **Short-lived valuation effects:** The negotiation-period surge in firm-originated news is associated with a **temporary increase in media coverage and bidder valuation**. Importantly, the effect is *transitory*: there is evidence of reversal after the announcement, which is inconsistent with the idea that firms are merely timing mergers to coincide with genuinely good fundamentals news.
3. **The content of coverage shifts in a way consistent with “spin”:** While the volume of coverage rises, the fraction of negative-tone and downward-spin stories **falls** during negotiations. This pattern aligns with active media management rather than a passive reflection of newsworthiness.
4. **Economic magnitude:** the implied transfer in deal terms is large. By temporarily raising the bidder’s stock price in a fixed-ratio stock deal, the bidder can negotiate a **lower number of shares** to be issued to target shareholders. The paper estimates that active media management reduces takeover costs for the *average* acquirer by roughly **\$230 million to \$558 million**, i.e. about **5% to 12%** of the takeover price.
5. **Market feedback and bargaining consequences:** Media management affects the division of surplus: greater increases in acquirer media coverage during negotiations are associated with a **shift of merger gains toward the acquirer and away from the target**.

10.2 Why fixed exchange ratios create the incentive to “manage the news”

The intuition rests on a simple deal-mechanics wedge between *economic value* and *share issuance* in stock payment:

1) Fixed exchange ratio deals create a narrow “valuation window.” In a fixed-ratio stock merger, the target receives a fixed number of bidder shares per target share (the exchange ratio is negotiated privately). A higher bidder stock price during the negotiation window mechanically implies fewer shares need to be offered for a given negotiated value, so the bidder has a clear motive to inflate price *temporarily*.

2) Floating exchange ratio deals remove (or greatly attenuate) that motive. In floating-ratio structures, the exchange ratio is adjusted so that the target receives a roughly fixed value in bidder stock. A temporary increase in bidder price does not reduce the value transferred to the target in the same way, so the incentive to boost price during negotiations is weaker.

3) Press releases are the fastest controllable lever to influence media coverage. Press releases are under managerial control, can be disseminated quickly, and are routinely picked up by wires and other outlets. Thus, they are a plausible vehicle for generating attention and framing information during the negotiation window.

4) **Why the takeover-cost effect is mechanically large.** If V is the agreed transaction value and P is the bidder stock price used (implicitly or explicitly) to determine the share component, then the number of shares is approximately $N \approx V/P$. If media management increases price from a baseline P_1 to a temporarily elevated P_2 , the reduction in share issuance translates into an effective saving:

$$\text{Savings} \approx V \left(1 - \frac{P_1}{P_2} \right),$$

which can be first-order in large stock mergers.

10.3 Why the results do not require “irrational” investors

A key conclusion is that the effectiveness of media management **does not require** that investors are fully fooled. Even with rational investors, two forces can generate a short-lived price response:

- **Imperfect detectability of manipulation:** investors cannot perfectly infer, in real time, which disclosures are purely strategic versus genuinely informative.
- **Partial discounting:** the paper shows that investors respond *less* to bidder-originated news precisely when manipulation is more likely (e.g., repeat acquirers and news released close to the merger), consistent with rational discounting rather than naive belief.

10.4 Takeaway

Ahern and Sosyura (2014) show that in fixed-exchange-ratio stock mergers, bidders strategically increase firm-originated press releases during private negotiations to generate more (and more favorable-toned) media coverage, producing a temporary run-up in bidder valuation exactly when the exchange ratio is set and shifting merger surplus toward the acquirer, with economically large implied savings on the order of \$230–\$558 million (about 5%–12% of deal value).